

Scraping the Barrel

A lucid geopolitical history of oil that analyses its strategic importance and explores alternatives for the future



BLOOD OF THE EARTH: THE BATTLE FOR THE WORLD'S VANISHING OIL RESOURCES

by DILIP HIRO

Penguin; Price: Rs 425; Pages: 248

■ By Kirit S. Parikh

Ever since an oil well was drilled in 1846 by a Russian mining engineer, Fyodor Semyenov, petroleum and its products have become indispensable to modern life. Petrochemicals, plastics, fertilisers and internal combustion engines have revolutionised modern life and warfare. Oil has become a strategic material and much geopolitics is centred around it.

Dilip Hiro provides a fascinating account, lucidly written, of what countries have done and are doing to ensure their oil supplies. It describes the geopolitical history of oil, provides a brief technical background and discusses future alternatives.

With oil prices above \$100 per barrel and rising, the question arises—is this a temporary hike, a blip, or a long-term trend? Increasingly, many people are coming to the conclusion that we are approaching peak oil. Hiro's book discusses the finite nature of oil and argues that peak oil is not too far.

We have now started

considering seriously renewable options such as bio-diesel and ethanol. But these two are not without their own problems. When bio-diesel is produced from oilseed plantations on land which is deforested for the purpose, it may add more green house gases to the atmosphere than what bio-diesel may save. Similarly ethanol based on sugarcane or corn would compete with food production. One would then trade energy security for food insecurity. A more attractive option is to convert cellulosic matter to ethanol. Thus crop residues can be used to get ethanol. The technology is not economical now. Many researchers, however, think it would be in a few years. Vinod Khosla, a venture capitalist technologist, told the Washington International Renewable

NON-VIABLE: Land is deforested for making bio-diesel from oilseed plants



SHAILESH RAVAL

Energy Conference that he predicts that within seven years, oil prices will fall to \$35 per barrel. If this happens, before the blood of the earth gets depleted, oil reserves will get an infusion.

Ethanol may or may not be as illusive as shale oil but countries are scrambling to ensure oil supply. The interesting stories from our point of view concern China and India. China became an oil importer in 1993. In subsequent years its oil imports grew at 24 per cent per year. Energy security has since been an integral part of China's foreign policy. China has put up large projects as aid in many countries to get a foothold. The Chinese take a long-term perspective in securing strategic resources without worrying much about short-term return on the capital invested.

The China National Petroleum Corporation struck deals worth \$8 billion from 1993 to 1997 and invested \$15 billion in the past 10 years. It has beaten competition from established players and acquired properties in 44 nations. India, on the other hand, was a late starter in acquisitions abroad.

ONGC Videsh was established to focus on overseas exploration and production. We have now recognised the importance of oil diplomacy and are beginning to see its results. Oil-importing countries have to work together to get a fair deal, an initiative started by Mani Shankar Aiyar when he was the minister-in-charge.

I strongly recommend the book to anyone interested in knowing about oil and its geopolitics. ■

NEW RELEASES



VARANASI VISTA: EARLY VIEWS OF THE HOLY CITY
by JAGMOHAN MAHAJAN
Indica Books

Price: Rs 1,750; Pages: 88

This coffee table book presents one of the holiest and oldest cities of India, Varanasi, through the eyes of British landscape artists who started coming to India in the last quarter of the eighteenth century.



FOUR CRISES AND A PEACE PROCESS

by P.P. CHARI, PERVAIZ IQBAL CHEEMA
AND STEPHEN P. COHEN
HarperCollins

Price: Rs 495; Pages: 221

This book focuses on four contained conflicts in the subcontinent since 1971: the "Brasstacks" Crisis of 1986-87; the Compound Crisis of 1990; the Kargil Conflict of 1999 and the Border Crisis of 2001-02.



GRIT THAT DEFIED ODDS: REFLECTIONS OF A REVENUE OFFICER

by A.K. PANDE

Konark Publishers

Price: Rs 400; Pages: 198

As the name suggests, this book talks about the personal experiences of Pande, who has worked for over three decades in the revenue department. He focuses on the deterioration in the system and suggests some remedies.